YOUNGSTOWN BUSINESS INCUBATOR · 2025 AUDIT

Inside the rate

What makes up the indirect rate, down to the transaction, and how to take any part of it away as a file.

This is the answer to one question: **when America Makes asks what is in the pool, where do you look.** The rate build-up workbook answers *how the rate was struck* — pool over base, less what came out — which is what a reviewer needs to reproduce the arithmetic and is not what you need walking into a negotiation. This pane is the other half.

Nothing in here changes a figure. It is a read, from end to end: no screen in it writes to the cost record, so the sealed rates stand exactly as they were computed, whatever you open and whatever you download.

Where it is

`/rates` **— the Rate tab, marked** `7–9`**.** The pane is at the foot of the page, under the seal, the Compute button and the signature card.

It is also on `/review/rate`, the read-only workpaper, below the build-up. It is the *same* pane in both places, not a second reading of it, so a figure here and the same figure there cannot disagree.

The auditor sees the identical pane with no buttons on it. That is right — reading the cost record is a grant and the figures are the record; sealing, computing and certifying are yours.

The four tabs

```
Indirect, combined      what goes on an invoice — overhead plus G&A
Overhead                occupancy and the facilities carve-out
G&A                     general and administrative
Fringe                  the six benefit accounts over the payroll register
```

Each tab is a whole rate: its own pool, its own carve-outs, its own base. **Indirect, combined is not a third rate beside the other two** — it is the overhead and G&A pools added together over the same base, which is why its account count is the sum of theirs.

The five sections, in the order they read

The pool, as classified

Every ledger account judged into this pool, largest first, with the number of groups and lines behind each. This is the figure a sponsor asks about, taken apart: the accounts are what you talk about, not the total.

What floor area drives

Only on Overhead and Indirect, combined, and only where there is something to say. The square-footage carve-out may reach the cost square footage *causes* and no more — so T1 access, telephone, insurance and equipment stay in the pool however much of the estate is let. Open *Which accounts are the exceptions, and why* for the four and the reason on each.

That part of the pool is the **floor under the overhead rate**. It is why the rate cannot be carved to nothing, and it is worth saying out loud in a negotiation.

Carve-outs

What came out of the pool before the rate was struck, with the regulation each cites — 2 CFR 200.465 for the let share of occupancy, 200.436(b) for depreciation on a federally funded asset.

Administrative labour in the pool

Only under the POOL basis. It says which objective it came from and which basis the rate was computed on, because the same sealed judgments give two different answers depending on that choice and the pane says which one you are reading.

The base

What the pool is spread over, read from the allocation the computation recorded. The unit differs and it is not cosmetic:

- a **wage base** is one row per person — that is the payroll register, which is the whole point of the eleventh control;
- an **MTDC base** is one row per cost objective.

Printing people under objective headings would say the rate was taken over the ledger's wage accounts, which is the other denominator and a different number.

The tick on every section

Every section carries its own footing line:

```
n accounts · what they come to  ✓ ties to the rate
```

Both figures print — what the rows come to, and what the rate on file carries — because a reader comparing a breakdown to a workpaper is comparing two numbers and taking the tie on trust otherwise. **A breakdown that does not add back to the figure on the workpaper is worse than no breakdown**, in a negotiation most of all: a sponsor who adds the column up and gets a different answer stops reading the rest.

Three states, not two:

```
✓ ties to the rate
      the rows add to the figure the rate carries

✗ against … on file — out by …
      they do not, and the difference prints, rather than the tie
      being taken on trust

nothing to break the … on file into
      there is no breakdown to draw, and it names the figure that
      has none
```

The third is not a failure. A per-objective base exists only for Indirect, combined — the allocation is recorded once, against the rate it was computed on — so asking Overhead for one compares an empty table to the whole base. It says so instead of printing a variance the width of the base.

Down to the transaction

Click any account row. A drawer opens with:

- **the amount in the pool, the number of transactions and the number of payees**;
- **Where it went** — every payee in that account, largest first;
- **Every transaction** — the ledger lines themselves, two hundred at a time with *Show more* to the end, each carrying the date, the payee, the amount, the 990 function and the federal treatment;
- **The judgment these sit under** — the citation, the rationale and the grade somebody recorded. A transaction says what was spent; a sponsor asks why it is in this pool, and that is the answer.

Three disclosures worth opening before a meeting

Each sits under a small grey line you click to expand.

```
Which accounts are the exceptions, and why
      the four accounts floor area does not drive

The estate the 200.465 share is measured on
      square feet per building, by every use — let, vacant,
      committed, programme, common. Square feet, not dollars. A
      blank is a use nobody has recorded space under, which is
      not nought feet.

The assets federal money bought
      what 200.436(b) is measured on, with each asset's federal
      share
```

Taking any of it away as a file

Every section head carries `CSV · Excel`, and so does the drawer. There is no "export everything" button to find — you take the level you are reading.

Two formats because they are two jobs. A CSV is pasted into a sponsor's model; an .xlsx is filed as a workpaper. A figure that arrives in the wrong one gets retyped, and that is how a number stops reconciling.

Ten things are exportable:

```
The pool, as classified           every account in this rate's pools
Carve-outs                        what came out, and the citation on each
The base                          people or objectives, whichever this
                                  rate's base is
What floor area drives            the four exceptions and the reason
The estate                        square feet per building, by use
The assets federal money bought   the 200.436(b) register
Administrative labour in the pool under the POOL basis
Who was paid                      every payee in one account
Every transaction in this account the lines behind one account
Every transaction in every pool   all of it, across every pool
```

Three things travel on the face of every file, so a CSV that has left the screen still says what the screen said:

- **the footing line** — the rows, the total, and whether it ties;
- **the signature band** — `NOT CERTIFIED` with the reason, or who signed and when;
- **what is unfinished**, where anything is.

The file carries every line; the screen carries a page. A drawer showing 200 of 340 exports all 340, and the footing line on the file says *340 of 340*.

A section that has no breakdown to draw exports as a `NO DATA` file saying what is missing, rather than a header over no rows. An empty CSV pasted into a model gives a reader a header and no data and no way to tell which of the two happened.

What this pane does not do

- **It computes nothing.** Every figure is read from the register that already holds it — the gross from the pool balance, the carve-outs from the carve-out register, the driver split, the estate, the wage base, the MTDC base. A figure derived twice is one that can disagree with itself, and the workpaper would carry the version nobody can reproduce.
- **It writes nothing to the cost record.** No decision, no seal, no rate, no allocation. Opening it and exporting from it cannot move a sealed rate.
- **It records that you read it.** Opening a drawer is one act and taking a copy is another, and the register says which — a pane open is not an export, because an export means a file left the building.

Two things to expect in a negotiation

The combined rate is not the two component rates added up. Overhead and G&A are each their own pool over the base, rounded; the combined rate is the *combined pool* over the same base. All three are right and the first two will not sum to the third to the last decimal. Quote the **pools**, which add exactly.

The rate the papers carry is the rate they were measured on. If the record has since recomputed, the restatement screens and both sponsor papers say so above their figures. A page printing one rate while the pane shows another is not a contradiction to explain away — it is the notice doing its job, and recomputing is your act, not the system's.
